



HERO MotoCorp – LOCATION AND PROMOTION MANAGEMENT

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Hero MotoCorp Limited is an Indian multinational manufacturer of two-wheelers (motorcycles and scooters). It is headquartered in the state of New Delhi. It is one of the world's largest two-wheeler manufacturer and has a market share of about 46 percent in the Indian two-wheeler industry. Hero MotoCorp is known for its innovation, technology and customer-centricity. It delivers world-class products/services to delight customers globally. Hero MotoCorp provides insight into a unique retailing business with a major focus on the retail management framework, location and promotional strategic plan.

INDUSTRY OVERVIEW

The Indian retail market is projected to be around US\$ 600 billion. India's retail industry recruits around 40 million Indians i.e., 3.3% of India's total population. Retail can be bifurcated in terms of organized and unorganized retail. Organized retail can be defined as a form of retail or a wholesale which typically could be stores that are either multi-outlet chains or distribution centers. Whereas an unorganized sector involves those who sell an assortment of products and services ranging from fruits, vegetables, vehicle wash, shoe repair and so on. These products could be offered through a fixed location or mobile location. Hence, retail outlets such as Kirana stores and other vendors selling miscellaneous items come under unorganized retailing. In 2012, the government of India declared opening of (foreign direct investment) FDI in multi-brand retail, subject to endorsements by individual states. Later, the Federal Government of India permitted 51% FDI in multi-brand retail in India. They permitted international retailers such as Walmart, Tesco, and Carrefour to open stores (wholesale) in India. This was the beginning of the growth story of Indian retail industry. In the automotive retail industry, investments made by foreign individuals in companies engaged in the distribution/sale of automobiles or related goods/services are referred to as FDI in this sector. As a matter of fact, FDI could take many different forms in the automotive retail industry such as dealership establishment, service centre establishment, and investment in online car sales platforms.

Challenges for the growth of the industry

The retail growth rate in India is exceptionally low when compared to other countries. For instance, the profitability in the Indian retail was only 6% in terms of work efficiency when compared to United States. India's work profitability in nourishment retailing is about 5% compared with Brazil which has around 14%. India's work efficiency in non-nourishment retailing is about 8% compared with Poland's which had around 25%. The following are current challenges in the Indian retail industry:

- Multichannel restrictions
- Complex consumer behavior
- Technology upgrade
- Cut-throat competition
- Skilled workforce
- Supply Chain Management
- Frauds in retail sector
- Infrastructure & Logistics restraints
- Maintaining Customer loyalty

INDIAN AUTOMOBILE RETAIL MARKET

The Indian automobile retail industry is one of the largest and fastest-growing in the world. It is expected to grow at a CAGR of 10% over the next five years, reaching a market size of over \$150 billion by 2025. The Indian automotive market is influenced by various factors, which include:

- Expanding middle class experiencing increased disposable incomes
- Youthful demographic with a strong demand for mobility
- Supportive government initiatives, such as the 'Make in India' program
- Rapid urbanization

With more than 80% of all sales in 2022 going to the two-wheeler category, this category was the biggest segment in the Indian auto industry. The domestic companies such as Maruti Suzuki, Tata Motors, and Mahindra & Mahindra dominate the Indian car industry. Nonetheless, international manufacturers such as Hyundai, Toyota, and Kia also

gained ground in the market. India's sales of electric vehicles increased by more than 300% in 2022. Through initiatives such as the Faster Adoption and Manufacturing of Hybrid & Electric Vehicles (FAME) India project, the Indian government is also positively contributing to the expansion of the electric car industry. The Indian auto retail sector is expanding due to a number of factors such as young population, rising disposable incomes, expanding middle class, supportive government policies, and growing urbanization. To be competitive, automakers and dealers must stay abreast of the most recent trends and advancements. There are significant trends influencing the Indian automotive retail market which are as follows:

- Escalating interest in SUVs and electric vehicles
- Heightened emphasis on digitalization and enhancing customer satisfaction
- Mounting significance of post-purchase services
- Rising competitive pressure from international car manufacturers

Challenges faced by the Indian Automobile retail industry

The Indian automobile retail sector is encountering certain barriers towards its growth which are as follows:

- Growing input costs: Auto dealers' profitability has been under strain as a result of the recent increase in the price of raw materials like steel and aluminum.
- Difficulties sourcing automobiles and components for auto retailers: The pandemic has resulted in considerable disturbances to the worldwide supply chain.
- Customer tastes are shifting, and auto dealers who are still concentrating on selling conventional gasoline and diesel automobiles are facing difficulties as a result of consumers' growing demands for more environmentally friendly and fuel-efficient cars.
- Rising rivalry: Both domestic and international businesses are striving for market share in India's vehicle retail sector, which is getting more and more competitive.
- Digital transformation is necessary if auto dealers want to stay up to date with the shifting expectations of their customers. This entails creating multichannel experiences that are seamless and building online sales platforms.

- Lack of a specific law protecting auto dealers: Since India lacks a specific law protecting auto dealers, it leaves dealers exposed to unfair business practices by vehicle manufacturers.
- High inventory expenses: Indian auto dealers sometimes face financial difficulties due to their high inventory costs.
- Financing availability is frequently a barrier for auto dealers in India, making it challenging for them to make investments in expansion and improvement.

Hero MotoCorp provides its dealers with a variety of products and assistance to foster loyalty and increase sales. The following are the list of offerings:

- *Motorcycle Inventory:* Hero MotoCorp dealerships have access to a diverse range of Hero motorcycles, encompassing commuter bikes, scooters, and premium motorcycles. This diverse inventory allows retailers to cater to a broad spectrum of customer preferences and requirements.
- *Spareparts and Accessories:* Hero MotoCorp supplies genuine spare parts and accessories to retailers. These offerings enable retailers to not only provide essential replacement parts but also capitalize on the customization trend by offering accessories for motorcycles.
- *Apparel and Merchandise:* Hero MotoCorp offers branded apparel and merchandise, including t-shirts, jackets, helmets, and riding gear. These products serve a dual purpose – (a) promoting the brand within the dealership and (b) generating additional revenue streams.
- *Marketing and Advertising Materials:* To bolster local marketing efforts, Hero MotoCorp equips retailers with marketing and advertising materials such as brochures, posters, banners, and digital assets. These resources empower retailers to effectively communicate Hero MotoCorp's product offerings to their local audience.
- *Training and Technical Support:* Hero MotoCorp places a significant emphasis on staff training and technical support. This ensures that dealership personnel possess in-depth knowledge about Hero motorcycles and can provide exceptional customer service, fostering customer trust and satisfaction.

- *Co-op Advertising and Promotions:* Retailers may participate in co-op advertising programs in partnership with Hero MotoCorp. This collaborative approach shares the cost of local advertising campaigns, strengthening brand awareness and driving traffic to the dealership.
- *Finance and Insurance Services:* Depending on the dealership agreement, Hero MotoCorp may extend financing and insurance services to assist customers with their motorcycle purchases, further simplifying the buying process.
- *Customer Loyalty Programs:* Hero MotoCorp may offer customer loyalty programs that retailers can utilize this to reward and retain customers, creating a sense of community and repeated patronage.
- *Technical Support and Service Training:* Hero MotoCorp supports dealership service centers with technical assistance and training to ensure that servicing and repairs adhere to the company's standards, enhancing the overall customer experience.
- *Digital Tools and Platforms:* To adapt to the digital age, Hero MotoCorp may provide retailers with digital tools and platforms for inventory management, sales tracking, and customer relationship management, streamlining operations in the modern retail landscape.

THE ROAD AHEAD

The two-wheeler segment is the largest segment of the Indian auto market, accounting for over 80% of total sales. The passenger vehicle segment is the second largest segment, accounting for around 15% of total sales. The commercial vehicle segment is the third largest segment, accounting for around 5% of total sales. In the upcoming years, the Indian vehicle retail market is anticipated to grow substantially. A multitude of causes, including increased urbanization, rising affluence, and an increasing need for personal mobility, are driving this market. Hero MotoCorp had following challenges to overcome which the Indian automobile retail industry was facing:

- *Cost optimization:* Auto dealers must look for methods to save expenses, such settling on more favorable terms with suppliers and simplifying their business processes.

- Supply chain management: To increase the effectiveness and dependability of their supply chain, auto dealers must make investments in supply chain management technologies.
- Product differentiation: By providing distinctive goods and services, auto shops may set themselves apart from their rivals. This might entail concentrating on certain markets, such as luxury or electric car market.
- Digital transformation: To enhance customer satisfaction and boost revenue, auto shops must make investments in digital transformation.
- Effective financial management: This is crucial for auto dealers to guarantee they have the necessary resources to expand and thrive.

Automobile sellers may overcome their obstacles and set themselves up for future success by concentrating on above five crucial areas. All things considered, the Indian car sector has numerous difficulties that call for creativity and flexibility to resolve. Businesses who can overcome these obstacles and carry on offering top-notch goods/services stand a good chance of long-term success. In 2024, Hero MotoCorp was setting up to launch the latest motor cycle 'Mavrick 440'. There were several other challenges related to location and promotions. The location for auto dealership outlets were influenced by various factors such as accessibility, visibility, and proximity to your target market. There were also other factors such as foot traffic and pedestrian control flow which contribute towards success of a retail location. With the launch of new motor cycle, Hero MotoCorp had to craft a winning promotion strategy to guide a successful launch. It had to concentrate on establishing a promotion strategy that leads to spurring traffic, raised profits, enhance brand awareness and boost customer loyalty. Therefore, Hero MotoCorp top management had to develop the retail management framework and further devise a location and promotional strategic plan.